CONTRACT FOR THE SALE OF FREEHOLD INVESTMENT PROPERTY

incorporating the Standard Commercial Property Conditions (Third Edition — 2018 Revision)

relating to

Redwood House, 14 Aldersgate Street, London EC1A 4HD

(1) HARTMOOR ESTATES LIMITED — (2) CALDERFIELD REDWOOD PROPCO LIMITED

Particulars

Item	Detail
Seller	Hartmoor Estates Limited (company no. 07744120), whose registered office is at Hartmoor House, 27 Curzon Street, London W1J 7TJ.
Buyer	Calderfield Redwood Propco Limited (company no. 16042288), whose registered office is at 8 Finsbury Circus, London EC2M 7EA.
Property	The freehold property known as Redwood House, 14 Aldersgate Street, London EC1A 4HD, registered under title number NGL742118.
Purchase Price	£21,750,000 (exclusive of VAT).
Deposit	£2,175,000 (10% of the Purchase Price).
Completion Date	15 May 2026 (or as varied under clause 8).
Title Guarantee	Full title guarantee.
Tenancies	The leases listed in Schedule 2 (the Tenancies).

1. Definitions and interpretation

1. In this contract, except where the context otherwise requires, the following definitions apply:

1.1 **Actual Completion Date** means the date on which Completion actually takes place;

1.2 **Apportionment Day** means the Completion Date;

1.3 **Conditions** means the Standard Commercial Property Conditions (Third Edition — 2018 Revision), as varied by this contract;

1.4 **Completion** means completion of the sale and purchase of the Property in accordance with clause 8;

1.5 **Occupational Leases** means the leases of the Property listed in Schedule 2 and any other lease, licence or tenancy under which any part of the Property is occupied at the date of this contract;

1.6 **Purchase Price** means £21,750,000 (exclusive of VAT);

1.7 **Rent Deposit Deed** means the rent deposit deed dated 2 April 2019 between the Seller (as landlord) and Mercer Wells LLP (as tenant) relating to floors 3 to 5 of the Property;

1.8 **Tenancies** means the Occupational Leases, particulars of which are set out in Schedule 2;

1.9 **TOGC** means a transfer of a going concern within the meaning of article 5 of the Value Added Tax (Special Provisions) Order 1995;

1.10 **VAT** means value added tax chargeable under the Value Added Tax Act 1994 or any similar tax.

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1.11 References to clauses and Schedules are to clauses of and Schedules to this contract. Headings do not affect interpretation. Words importing the singular include the plural and vice versa.

1.12 The Conditions are incorporated into this contract so far as they are applicable to a sale by private treaty and are not varied by or inconsistent with the terms of this contract. Where there is a conflict between the Conditions and the terms of this contract, the terms of this contract prevail.

2. Agreement for sale

2. The Seller will sell and the Buyer will buy the Property for the Purchase Price subject to and with the benefit of the Tenancies and the matters contained or referred to in clause 6 (Title) but otherwise free from incumbrances.

2.1 The Property is sold subject to and with the benefit of the Occupational Leases and the rights and reservations contained in the registered title.

3. Deposit

3. On the date of this contract the Buyer will pay the Deposit of £2,175,000 to the Seller's conveyancer to be held as stakeholder pending Completion. Condition 2.2.2 of the Conditions is varied so that the Deposit is held as stakeholder and not as agent for the Seller.

3.1 Interest earned on the Deposit will belong to the party to whom the Deposit (or the balance of it) is ultimately paid.

4. Purchase Price and VAT

4. The Purchase Price is exclusive of VAT.

5. The Seller and the Buyer intend that the sale of the Property will be treated as a TOGC and that accordingly no VAT will be chargeable on the Purchase Price. The Buyer warrants that, on or before Completion, it will be registered for VAT, will have exercised and notified to HMRC an option to tax the Property under Schedule 10 to the Value Added Tax Act 1994, and will not have revoked that option.

5.1 If, notwithstanding the parties' intention, HMRC determines that the sale is not a TOGC, the Buyer will pay to the Seller the VAT properly chargeable against delivery of a valid VAT invoice, together with any interest or penalty (save to the extent arising from the Seller's delay).

5. Insurance

6. The Seller is not obliged to insure the Property and Condition 7.1 does not apply. Risk in the Property passes to the Buyer on the date of this contract. The Buyer is advised to insure from the date of this contract. The Seller will, however, maintain its existing insurance until Completion and account to the Buyer for any insurance proceeds received in respect of damage occurring after the date of this contract.

6. Title

7. Title to the Property having been deduced to the Buyer before the date of this contract, the Buyer is treated as having full knowledge of the title and may raise no requisition or objection to it, except in relation to matters arising after the date of this contract or revealed by pre-completion searches.

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7.1 The Property is sold subject to the entries on the registered title, including the restrictive covenant contained in a conveyance dated 14 November 1968 affecting the rear yard.

7. Occupational Leases and management

8. The Seller will, between the date of this contract and Completion, manage the Property and the Tenancies with reasonable care and in accordance with the principles of good estate management, and will not without the Buyer's prior written consent (such consent not to be unreasonably withheld or delayed):

(a) grant, surrender, vary or agree to vary any of the Occupational Leases;

(b) agree, settle or refer to determination any rent review under any of the Occupational Leases (including the outstanding 2024 review under the Mercer Wells lease);

(c) serve any notice or commence any proceedings against any tenant; or

(d) waive any breach of covenant by any tenant.

8.2 The Seller will account to the Buyer following Completion for any rent, additional rent or other sum received from a tenant that is referable to a period after the Apportionment Day.

8. Completion

9. Completion will take place on the Completion Date at the offices of the Buyer's conveyancer or where else the parties agree, when the balance of the Purchase Price (as adjusted by the apportionments under clause 9) is paid.

9.1 On Completion the Seller will deliver: an executed transfer (TR1) of the Property to the Buyer with full title guarantee; the documents of title; the original Occupational Leases and the Rent Deposit Deed; duly executed authorities to the tenants to pay future rents to the Buyer; and the keys to any vacant or common parts.

9.2 If the time by which Completion is to take place under Condition 9.3 has passed, time is of the essence only after a notice to complete has been served under Condition 9.5.

9. Apportionments

10. The rents and other periodic outgoings of the Property will be apportioned on a daily basis as at the Apportionment Day, the Seller being entitled to all income and liable for all outgoings up to and including the day before the Apportionment Day and the Buyer thereafter.

10.1 Where on the Apportionment Day any rent or other sum due from a tenant is in arrears, the apportionment will be made on the basis that the arrears will be paid, but if any apportioned sum is not received within six months after Completion the Buyer will, on request, assign to the Seller the right to recover it.

10. Rent deposit

11. On Completion the Seller will pay to the Buyer the sum of £180,000 representing the rent deposit held under the Rent Deposit Deed, and the parties will enter into a deed of assignment of the Seller's interest in the Rent Deposit Deed to the Buyer in the agreed form set out in Schedule 4.

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11. Buyer's acknowledgement

12. The Buyer acknowledges that it has inspected the Property and entered into this contract solely in reliance on its own inspection and the results of its own searches and enquiries and on the written replies given by or on behalf of the Seller to the Buyer's pre-contract enquiries, and not in reliance on any other representation or statement made by or on behalf of the Seller.

12. Transfer

13. The Property will be transferred to the Buyer with full title guarantee, but so that the covenants implied under the Law of Property (Miscellaneous Provisions) Act 1994 are modified so that the Seller will not be liable for any matter contained or referred to in the entries on the registered title or disclosed in the replies to enquiries.

13. Outstanding rent review

14. The Seller will keep the Buyer informed of the progress of the outstanding 2024 rent review under the Mercer Wells lease and will not, after the date of this contract, agree, settle or refer that review to determination without the Buyer's prior written consent.

14.1 Following Completion the Seller will account to the Buyer for any increased rent and arrears agreed or determined under that review that are referable to the period from and including the Apportionment Day, and the Buyer will account to the Seller for any such increase referable to the period before the Apportionment Day.

14.2 On Completion the sum of £100,000 (the "Review Retention") will be retained from the Purchase Price and held by the Buyer's conveyancer as stakeholder pending agreement or determination of the outstanding 2024 rent review, and will be released to the Seller within ten Business Days of the reviewed rent being agreed or determined, less any amount the Seller is required to account for to the Buyer under clause 13.2. If the reviewed rent has not been agreed or determined by 30 September 2026, the Review Retention will be released to the Seller in full on that date and the parties' rights under clause 13.2 will continue to apply.

14. VAT records

15. The Seller will, in accordance with section 49 of the Value Added Tax Act 1994 and regulation 6 of the Value Added Tax Regulations 1995, deliver to the Buyer on Completion the VAT records relating to the Property, and the Buyer will preserve them for the period required by law and permit the Seller reasonable access to them.

15. Confidentiality and announcements

16. Neither party will make any announcement concerning this contract or its subject matter without the prior written consent of the other, except as required by law or any regulatory authority.

16. Notices

17. Condition 1.3 applies to the giving of notices under this contract. Notices to the Seller will be sent to its conveyancer (Pemberton Rowe LLP, ref AW/Redwood) and notices to the Buyer to its conveyancer (Whitfield Carter LLP, ref SW/jo/CAL-0185).

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17. Entire agreement

18. This contract, together with the documents referred to in it, constitutes the entire agreement between the parties and supersedes all prior negotiations, representations and arrangements. Each party acknowledges that it has not relied on any representation not set out in this contract, but nothing in this clause limits liability for fraud.

18. Third party rights

19. Save as expressly provided, a person who is not a party to this contract has no right under the Contracts (Rights of Third Parties) Act 1999 to enforce any of its terms.

19. Governing law and jurisdiction

20. This contract and any dispute arising out of or in connection with it are governed by the law of England and Wales, and the parties submit to the exclusive jurisdiction of the courts of England and Wales.

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Schedule 1 — The Property

ALL THAT freehold land and building known as Redwood House, 14 Aldersgate Street, London EC1A 4HD, being a six-storey office building with ancillary ground-floor retail unit and rear yard, registered at HM Land Registry with title absolute under title number NGL742118, shown edged red on the title plan.

Schedule 2 — The Tenancies

Tenant	Demise	Term	Passing rent (p.a.)
Mercer Wells LLP	Floors 3–5	15 yrs from 25/03/2019	£720,000
Aldgate Print Co Limited	Floors 1–2	10 yrs from 01/10/2020 (break 2027)	£465,000
Castelló Coffee Limited	Ground retail	10 yrs from 24/06/2022	£142,500
Fenwick Serviced Offices Ltd	6th floor	5 yrs from 01/01/2024	£160,000
****Total**			****£1,487,500**

Schedule 3 — Apportionments and completion statement basis

The completion statement will be prepared on the basis of: (a) the balance of the Purchase Price (£19,575,000) after credit for the Deposit; (b) apportionment of rents and service charge as at the Apportionment Day; (c) transfer of the rent deposit of £180,000 to the Buyer; and (d) any agreed retention in respect of the outstanding rent review (currently nil).

Schedule 4 — Form of deed of assignment of rent deposit

A deed of assignment of the Seller's interest in the Rent Deposit Deed to the Buyer, in the form agreed between the parties' conveyancers, to be entered into on Completion.

EXECUTED as a deed and delivered on the date written above.

Executed as a deed by HARTMOOR ESTATES LIMITED acting by a director ..... in the presence of .....

Executed as a deed by CALDERFIELD REDWOOD PROPCO LIMITED acting by a director ..... in the presence of .....

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